

IN THE SUPREME COURT OF PAKISTAN
(Appellate Jurisdiction)

Present:

Justice Yahya Afridi, CJ
Justice Muhammad Ali Mazhar

C.P.L.A.No.215-L, 556 & 557 of 2024

Against the Judgment dated 22.12.2023 passed
by Punjab Service Tribunal, Lahore in Appeals
No.1585, 5159 & 5156/2019)

Syed Baqir Riffat Gardezi	(CP.215-L/2024)
Ejaz Ahmad (Sub-Engineer)	(CP.556/2024)
Abdul Hameed Khan Khosa	(CP.557/2024)

.....Petitioners

Versus

Secretary to the Government of the Punjab, Housing Urban Development & Public Health Engineering Department, Lahore and another.	(In all cases)
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.....Respondents

For the Petitioners:	Hafiz Tariq Nasim, ASC (Via video link from Lahore in CP.215-L/2024)
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Mr. Khadim Hussain Khosa, ASC
(in CPs.556-557/2024)

For the Respondents:	Mr. Khalid Masood Ghani, Asst. AG, Punjab
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Date of Hearing:	27.11.2025
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Judgment

Muhammad Ali Mazhar-J: These Civil Petitions for leave to appeal are directed against the Judgments even dated 22.12.2023, passed by the Punjab Service Tribunal, Lahore (**PST**), in Appeal No.1585, 5159 & 5156/2019 whereby the appeals filed by the petitioners were dismissed.

2. The aforesaid petitioners were issued show cause notices on the following allegations of misconduct:

I) CPLA.NO.215-L/2024

(Syed Baqir Riffat Gardezi, Executive Engineer, PHE Division, Muzaffargarh)

While posted as Executive Engineer, PHE Division, Dera Ghazi Khan, he committed irregularities in execution of Rehabilitation of Urban Water Supply Scheme Fort Munro, Tehsil and District Dera Ghazi Khan, such as the work was allotted to M/S Aman Ullah Leghari & Co. vide Executive Engineer, PHE Division, D.G. Khan's letter No.1876-79 dated 12.06.2015, for Rs.161.145 million. During execution of work, the amount paid to him in excess/unapproved items without getting approval from the competent forum amounted to a total sum of Rs. 62.802 million. Despite repeated verbal and in writing directions vide Superintending Engineer, PHE Circle, D.G. Khan's letter No.980-87/G dated 06.03.2018, he failed to submit revised detailed cost estimate for arranging revised technical sanction from the competent authority in order to regularize the matter. In view of the recommendations made in the inquiry report, the petitioner was called upon to pay the penalty of Rs.20.934 million vide Office Order dated 19.10.2018, passed by the Secretary, Housing Urban Development & Public Health Engineering Department.

II. CPLA.NO.556/2024

(Ejaz Ahmad Sub-Engineer, PHE Sub-Division, D.G. Khan)

While posted as Sub Engineer, PHE Sub Division, D.G. Khan, he committed irregularities in execution of Rehabilitation of Urban Water Supply Scheme Fort Munroe, Tehsil & District D.G. Khan, such as the work was allotted to M/S Aman Ullah Leghari & Co. vide Executive Engineer, PHE Division, D.G. Khan's letter No.1876-79 dated 12.06.2015, for Rs.161.145 million. During execution of work, the amount paid to him in excess/unapproved items without getting approval from the competent forum amounted to a total sum of Rs. 63.391 million. Despite repeated verbal and in writing directions vide Superintending Engineer, PHE Circle, D.G. Khan's letter No.980-87/G dated 06.03.2018, he failed to submit revised detailed cost estimate for arranging revised technical sanction from the competent authority in order to regularize the matter. In view of the recommendations made in

the inquiry report, the petitioner was called upon to pay the penalty of Rs.21.130 million vide Office Order dated 19.10.2018, passed by the Secretary, Housing Urban Development & Public Health Engineering Department.

III. CPLA.NO.557/2024

(Abdul Hameed Sub-Engineer, PHE Sub-Division, D.G. Khan)

While posted as Sub Engineer, PHE Sub Division, D.G. Khan, he committed irregularities in execution of Rehabilitation of Urban Water Supply Scheme Fort Munroe, Tehsil & District D.G. Khan, such as the work was allotted to M/S Aman Ullah Leghari & Co vide Executive Engineer, PHE Division, D.G. Khan's letter No.1876-79 dated 12.06.2015, for Rs.161.145 million. During execution of work, the amount paid to him in excess/unapproved items without getting approval from the competent forum amounted to a total sum of Rs. 18.996 million. Despite repeated verbal directions by the Superintending Engineer, PHE Circle, D.G. Khan, he failed to submit revised detailed cost estimate for arranging revised technical sanction from the competent authority in order to regularize the matter. In view of the recommendations made in the inquiry report, the petitioner was called upon to pay the penalty of Rs.6.332 million vide Office Order dated 19.10.2018, passed by the Secretary, Housing Urban Development & Public Health Engineering Department.

3. The learned counsel for the petitioners argued that the inquiry conducted against the petitioners was defective. The penalty of the aforementioned huge amounts was imposed without providing proper opportunity of defence. It was further contended that in response to the show cause notice, everything was replied to and explained in detail but without being taken into consideration, the penalty was imposed. It was further averred that the learned PST ignored that the penalty awarded to the petitioners was too harsh and was not commensurate with the quantum of guilt. Almost similar charges were leveled against all the accused/officials and the findings of the inquiry officer had no basis, who even failed to verify the relevant record and rendered his findings and recommendations in a very casual manner without applying an independent and judicious mind. It was further avowed that

neither any independent witness was examined in support of the allegations in the presence of the petitioners, nor any right of cross examination was afforded, a crucial aspect which was ignored by the learned PST.

4. The learned Asst. AG, Punjab, argued that the disciplinary proceedings were initiated against the petitioners under the provisions of the Punjab Employees Efficiency, Discipline and Accountability Act, 2006 (**PEEDA 2006**) on the charge of inefficiency and misconduct committed by them during the execution of "Rehabilitation of Urban Water Supply Scheme, Fort Munro, Tehsil and District Dera Ghazi Khan". The inquiry officer submitted the report and recommended imposition of the major penalty of recovery. The Competent Authority, after perusal of recommendations of the Inquiry Officer and providing personal hearing, awarded the penalty. It was further contended that the petitioners violated Clause 2.7 of the West Pakistan Buildings & Roads Department Code and made excess payments of unapproved items, hence the major penalty of recovery awarded was in accordance with law after fulfilling all codal and procedural formalities.

5. Heard the arguments. It is a well settled exposition of law that the standard of proof in a departmental inquiry is not equivalent or comparable to the standard of proof obligatory or indispensable in a criminal trial. A departmental inquiry is embarked upon to sift the allegations of misconduct where the standard of proof depends on the balance of probabilities or preponderance of evidence. No doubt the inquiry officer cannot be equated with a trained judicial officer, but at least the procedure provided for guidance should be adhered to. The departmental inquiry should not be conducted in a cursory or perfunctory manner in which the stake of the employee is much higher than the employer. If any callous and reckless approach is opted for, violating the procedure and or declared the employee guilty without observing the codal formalities of principle of natural justice or right to fair trial/due process, the

ultimate sufferer would be the employee who will lose his job. So for all intents and purposes, the inquiry officer must perform his duties with care and caution and provide a fair opportunity of defence to the delinquent rather than concluding it in a slipshod manner. It does not matter however many pages are dedicated to the inquiry report, but what actually matters is the quality of the inquiry and affording a fair opportunity of defence to the accused. This should also be kept in mind that due to defective inquiry, the whole process is overturned, therefore the competent authority, while ordering the inquiry and appointing inquiry officer, should ensure that the inquiry is conducted transparently, fairly and without violating the due process of law and principle of natural justice.

6. Under Section 10 of PEEDA 2006, detailed procedure for conducting the inquiry is provided. The procedure inter alia makes it obligatory for the inquiry officer or the inquiry committee, as the case may be, to inquire into the charges and may examine such oral or documentary evidence in support of the charge or in defence of the accused as may be considered necessary and where any witness is produced by one party, the other party shall be entitled to cross examine such witness and after completion of inquiry, submit the report with clear findings as to whether the charge or charges have been proved or not with specific recommendations regarding exoneration, or, imposition of penalty or penalties to the competent authority. If we look into juxtaposition, the powers of inquiry officer or inquiry committee are provided under Section 11 of PEEDA 2006, which accentuates that the inquiry officer or inquiry committee for the purpose of an inquiry under this Act shall have the powers of a Civil Court trying a suit under the Code of Civil Procedure, 1908, in respect of (a) summoning and enforcing the attendance of any person and examining him on oath; (b) requiring the discovery and production of documents, and receiving evidence on affidavits; and (c) issuing commissions for the examination of witnesses or documents. Much sanctity has been granted under

sub-section (2), which envisages that the proceedings under this Act shall be deemed to be judicial proceedings within the meaning of sections 193 and 228 of the Pakistan Penal Code, 1860. Last but not least, the duties of the departmental representative are provided under Section 12 of PEEDA 2006, wherein he is bound to (a) render full assistance to the inquiry officer or the inquiry committee or hearing officer or the authority concerned, as the case may be, during the proceedings where he shall be personally present and fully prepared with all the relevant record relating to the case, on each date of hearing; (b) cross-examine the witnesses produced by the accused and with permission of the inquiry officer or inquiry committee, as the case may be, the prosecution witnesses in case of their turning hostile; and c) rebut the grounds of defence offered by the accused before the hearing officer or the authority concerned.

7. What we have noted from the inquiry report submitted by Mr. Shafqat Saeed, the Inquiry Officer of the Punjab Housing & Town Planning Agency, Faisalabad Region, is that it is predominantly grounded on the petitioners' replies to the charge sheet rather than independently collected or corroborated evidence. Nothing reflects from the record that any independent witness was examined for ensuring fairness and transparency in disciplinary proceedings. In addition to these procedural shortcomings, the inquiry report itself contains certain inconsistencies. The uniformity of findings, despite materially different roles, suggests that the report fails to appreciate the individual context of each petitioner's duties and alleged conduct, rendering the overall conclusions unsustainable. Only one witness, the Superintending Engineer PHE Circle, Dera Ghazi Khan, was produced by the departmental representative but opportunity of cross examination was not afforded to the petitioners. Moreover, the petitioner (Syed Baqir Riffat Gardezi) raised the objection in writing on 04.08.2018 to the Secretary, Housing Urban Development & Public Health Engineering Department, that the same witness remained XEN PHED, DG Khan, who made out the last alleged excess payment for the

project but he was excluded from the array of accused and no action was taken against him.

8. It is well-known that a fair opportunity of cross-examination meted out to the opposing party provides a leeway and possibility to shatter flaws in the testimony to disprove the charge or allegations, both in civil and criminal matters, including the domestic/departmental inquiries conducted under the labour laws or civil servant laws. Yet again, the purpose of conducting inquiries, on one hand, is to fix the responsibility of the delinquent *vis-à-vis* the charges leveled against him in the show cause notice or statement of allegations but in unison, it also aids and facilitates the exposing of the actual culprit or delinquent. In the case of Federation of Pakistan through Chairman FBR Vs. Zahid Malik (2023 SCMR 603), it was held that the right of proper defence and cross-examination of witnesses by the accused is a vested right. Not providing an ample opportunity of defence and depriving the accused from the right of cross-examination of departmental representatives, who lead evidence and produced documents against the accused, is against Article 10-A of the Constitution of the Islamic Republic of Pakistan. While in the judgment rendered in the case of Raja Muhammad Shahid Vs. Inspector General of Police (2023 SCMR 1135), it was articulated that during regular inquiry, it is obligatory for the inquiry officer to allow an even-handed and fair opportunity to the accused to place his defence and if any witness is examined against him, then a fair opportunity should also be afforded to cross-examine the witnesses. Whereas in the case of Usman Ghani Vs The Chief Post Master, GPO Karachi (2022 SCMR 745), it was held that the foremost aspiration of conducting a departmental inquiry was to find out whether a *prima facie* case of misconduct was made out against the delinquent officer for proceeding further. The guilt or innocence could only be thrashed out from the outcome of inquiry and at the same time, it was also required to be seen by the Service Tribunal as to whether due process of law or right to fair trial was followed or

ignored, which was a fundamental right. In the case of Zahid Malik (supra), this Court invited the attention of the government that in order to improvise the norms and standards of departmental inquiry, a "Handbook" of inquiry procedure be compiled with the excerpts of all relevant Rules, including the rule of natural justice and due process of law enshrined under Article 10-A of the Constitution for step-by-step help and assistance of inquiry officers or inquiry committees so that in the future, they may be well conversant with the precise procedure before embarking on the task of an inquiry and conduct the inquiry proceedings without ambiguities.

9. As a result of the above discussion, the aforesaid Civil Petitions are converted into appeals and allowed. Consequently, the impugned Judgments passed by the learned PST in the aforesaid service appeals as well as the Office Order dated 19.10.2018, imposing the penalty/fine amount formally asked to be recovered to the extent of petitioners are set aside. The respondents may conduct a de novo inquiry strictly in accordance with PEEDA 2006 against the present petitioners on the basis of show cause notices/statements of allegations issued initially and provide reasonable opportunity to defend the charges, including the right to produce oral and documentary evidence and also cross examine witnesses of the department/management if produced by the departmental representative during the course of inquiry.

Chief Justice

Judge

ISLAMABAD

27.11.2025

Khalid

Approved for reporting